



Repositioning Alvora for profitable growth

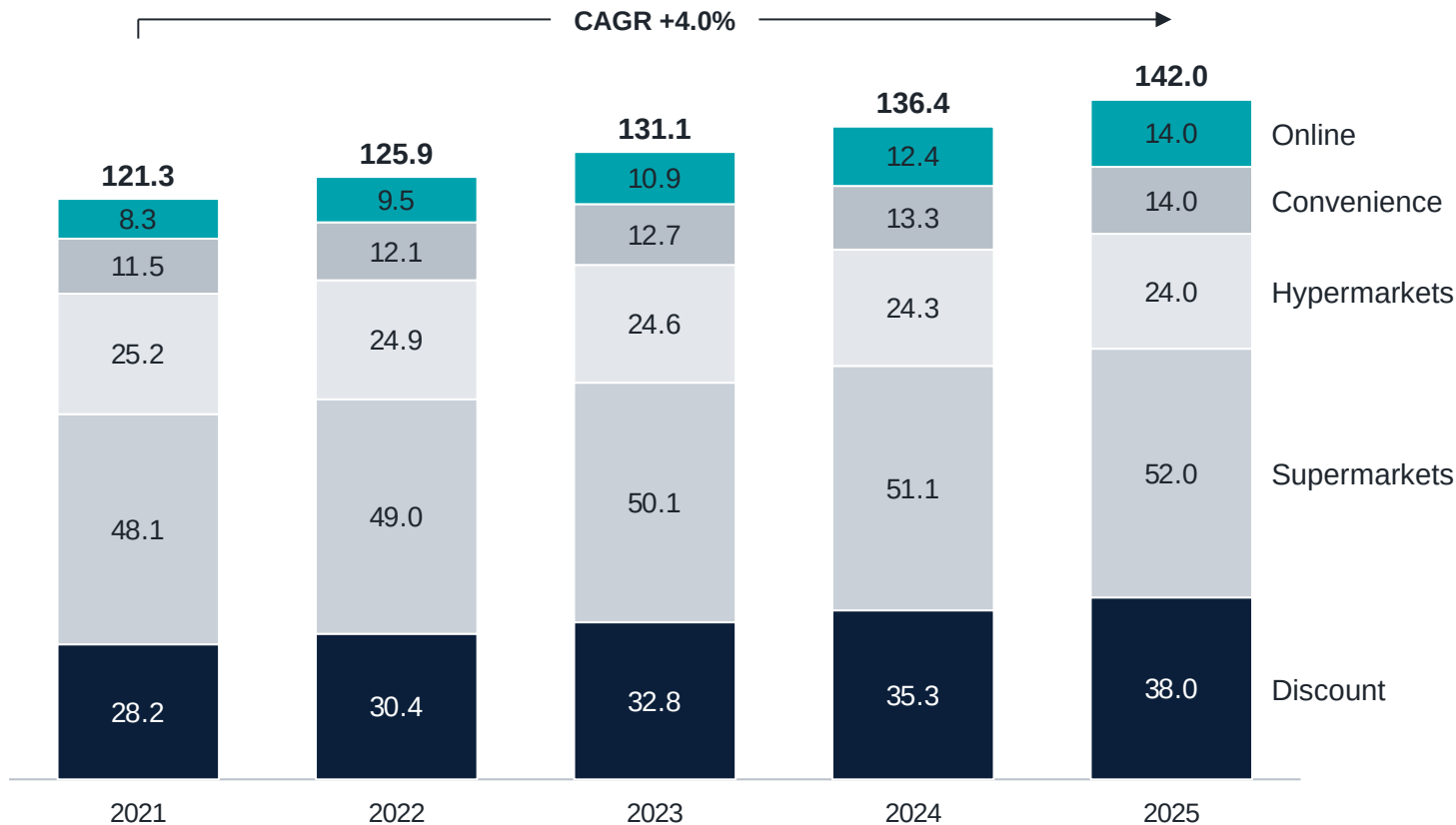
Board discussion: strategic options to restore EBITDA above €1bn by 2028

Alvora can restore EBITDA to €1,067M by 2028 if it repositions towards discount now

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|---|---|---|
| 1 | The market grows 4% a year, but discount and online capture 75% of it | Iberian grocery reached €142bn in 2025; discount (+7.8% CAGR) and online (+14.0%) outgrow supermarkets (+2.0%). |
| 2 | Alvora is falling behind: growth of 3.0% is below the market for a second year | Its mix is 54% supermarkets and only 14% discount; share slipped to 9.6%. |
| 3 | Margin erosion in grocery and convenience cut EBITDA by €67M in 2025 | EBITDA fell to €857M (6.3% margin); fresh and food-to-go in Madrid and Catalonia explain most of the loss. |
| 4 | A discount banner, a pricing reset and a cost programme add €250M by 2028 | Three waves over 24 months; the board is asked to approve the banner pilot and the €85M programme budget. |

Discount and online captured 75% of Iberian grocery growth since 2021

Iberian grocery market by channel, €bn



What moves the market

- **Discount** grows 7.8% a year on price-sensitive households, who have been trading down across all categories since the energy shock and now visit discounters at least once a week in most regions
- **Online** is still small but compounding at 14% a year, driven by quick-commerce in the two largest metropolitan areas and by subscription models from the pure players
- **Supermarkets** grow at 2%, below food inflation, which means volumes are shrinking in real terms for the first time in a decade
- **Hypermarkets** shrink as shopping trips move to proximity formats, and several operators are converting out-of-town boxes
- **Convenience** keeps growing at 5% thanks to food-to-go, although margins are under pressure from waste

Alvora's growth slowed to 3.0% in 2025, below the market (4.1%) for the second year

€13.6bn

▲ +3.0% YoY

Revenue 2025

6.3%

▼ -0.7pp

EBITDA margin 2025

9.6%

▼ -0.1pp

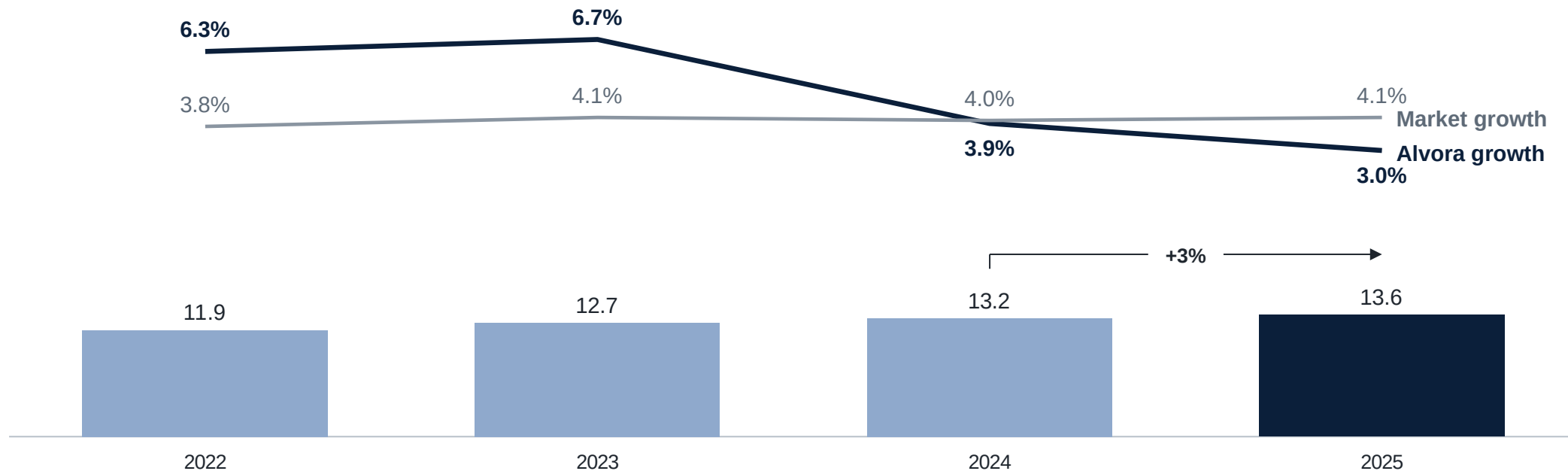
Market share 2025

+1.2%

▼ -1.8pp vs 2024

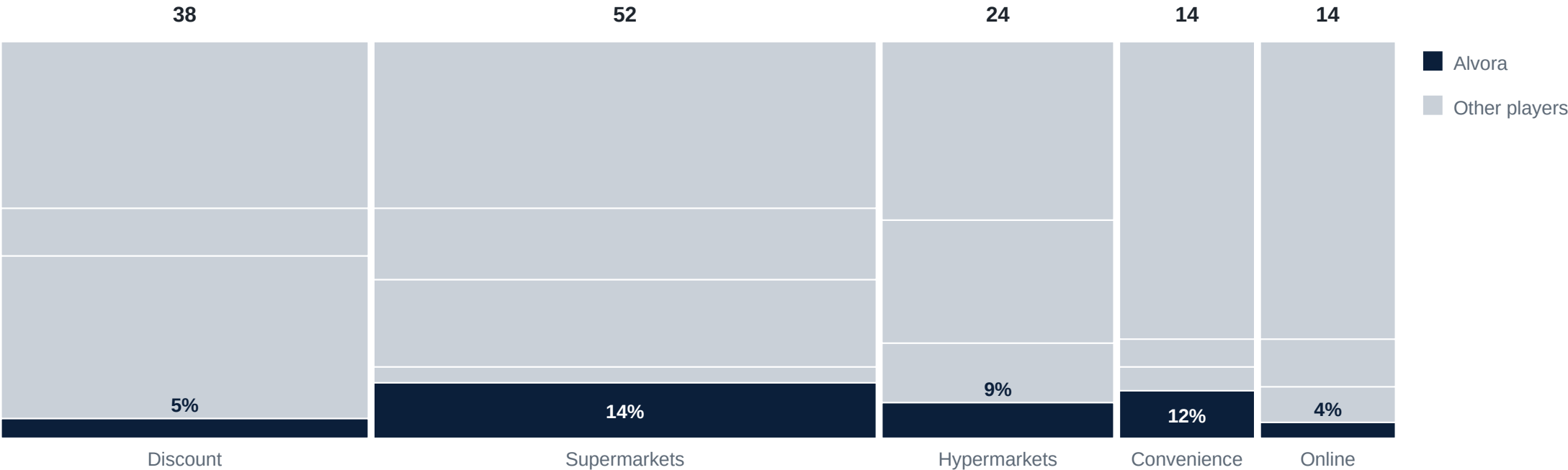
Like-for-like sales 2025

Alvora revenue and growth vs market, €bn, % YoY



Alvora holds 14% of supermarkets but only 5% of discount, the segment driving growth

Market share by channel, 2025, % of channel sales; width = channel size (€bn)



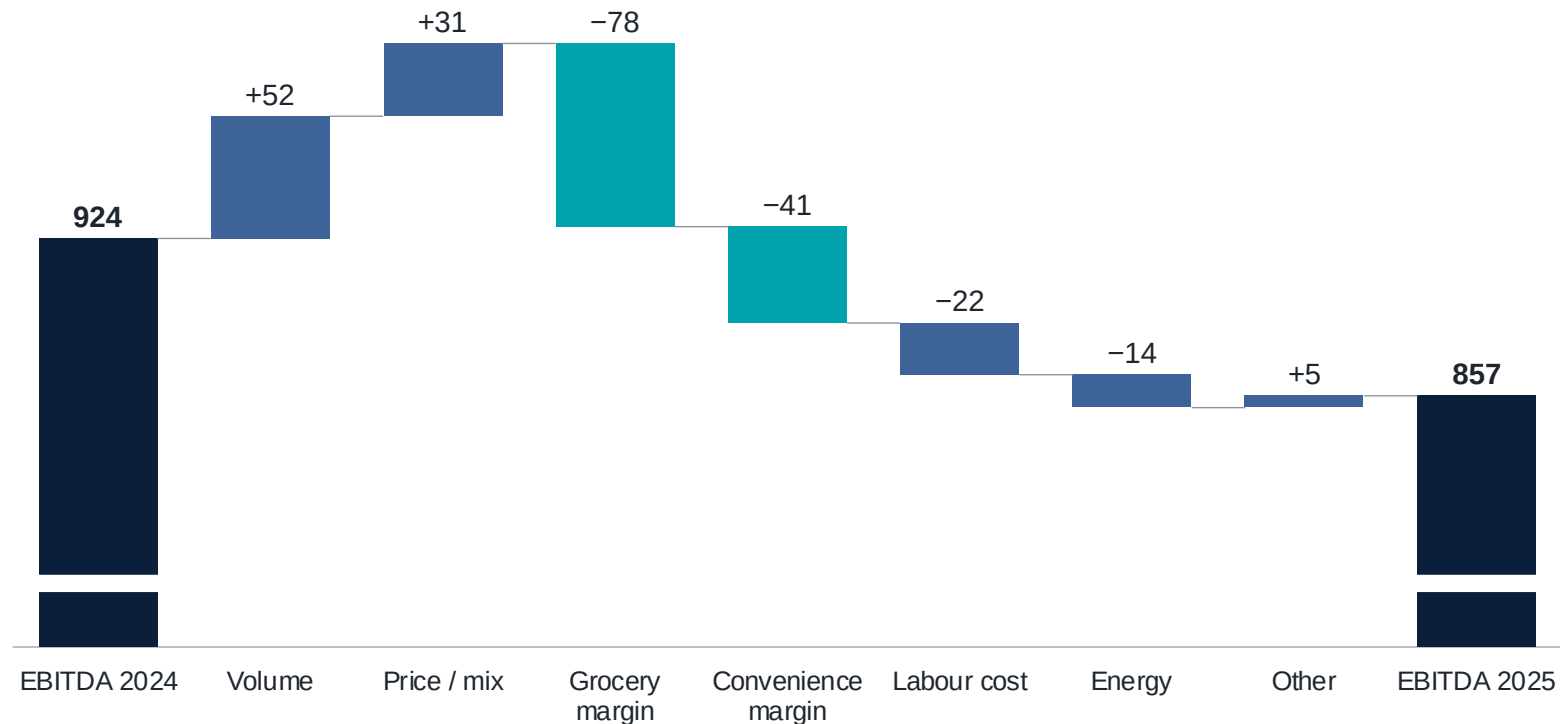
54% of Alvora sales come from **supermarkets**, a channel growing 2% a year

In **discount**, Competitor A holds 41% with a lower cost-to-serve

Online share of 4% trails B and C, whose hub networks are in place

Margin erosion in grocery and convenience (€119M) pushed EBITDA down to €857M

EBITDA bridge 2024 to 2025, €M



Two categories explain the decline

- **Grocery (–€78M):** promo intensity up 3pp to match discounters
- **Convenience (–€41M):** food-to-go waste doubled after the range extension
- Volume and price added €83M, not enough to offset cost inflation

Gross margin change by category and region

Gross margin change by category and region, 2025 vs 2024, pp

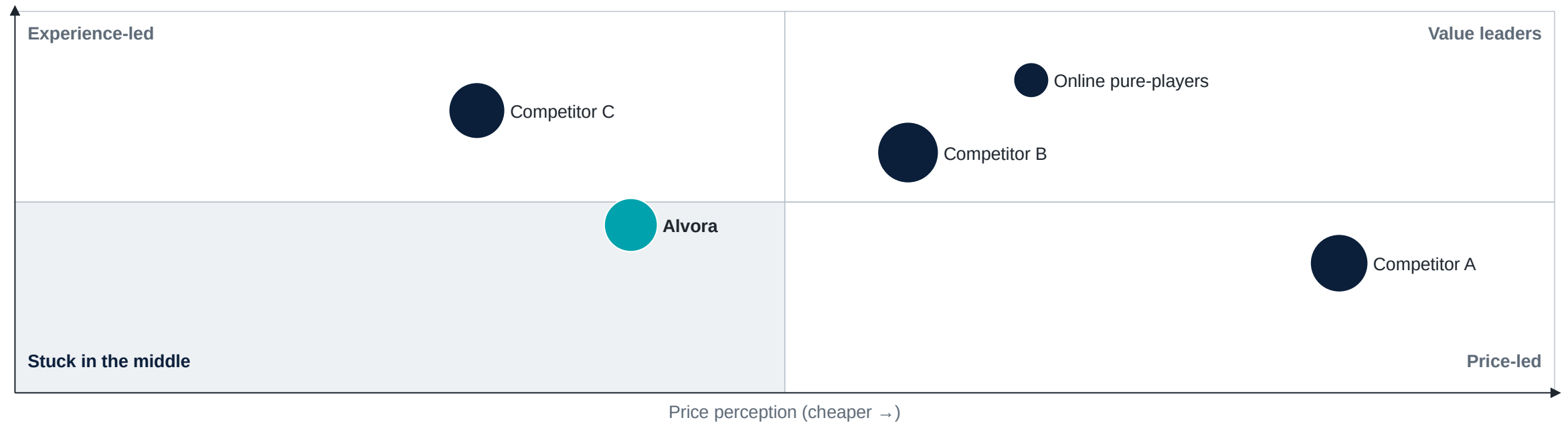
Category	Madrid	Catalonia	Andalusia	Valencia	North	Portugal
Fresh	-2.9	-2.6	-1.1	-1.0	-0.6	-0.4
Food-to-go	-3.4	-3.1	-1.4	-1.2	-0.9	-0.7
Ambient grocery	-0.8	-0.7	-0.5	-0.4	-0.3	-0.2
Drinks	-0.3	-0.2	0.1	0.0	0.2	0.1
Household & personal care	0.2	0.1	0.3	0.2	0.4	0.3
Total	-1.6	-1.4	-0.6	-0.5	-0.3	-0.2

Fixing fresh and food-to-go in two regions addresses about two thirds of the margin gap

Alvora is stuck in the middle: priced above discounters without a clear experience edge

Customer perception, 2025, index 0-1; bubble = revenue

↑ Store experience

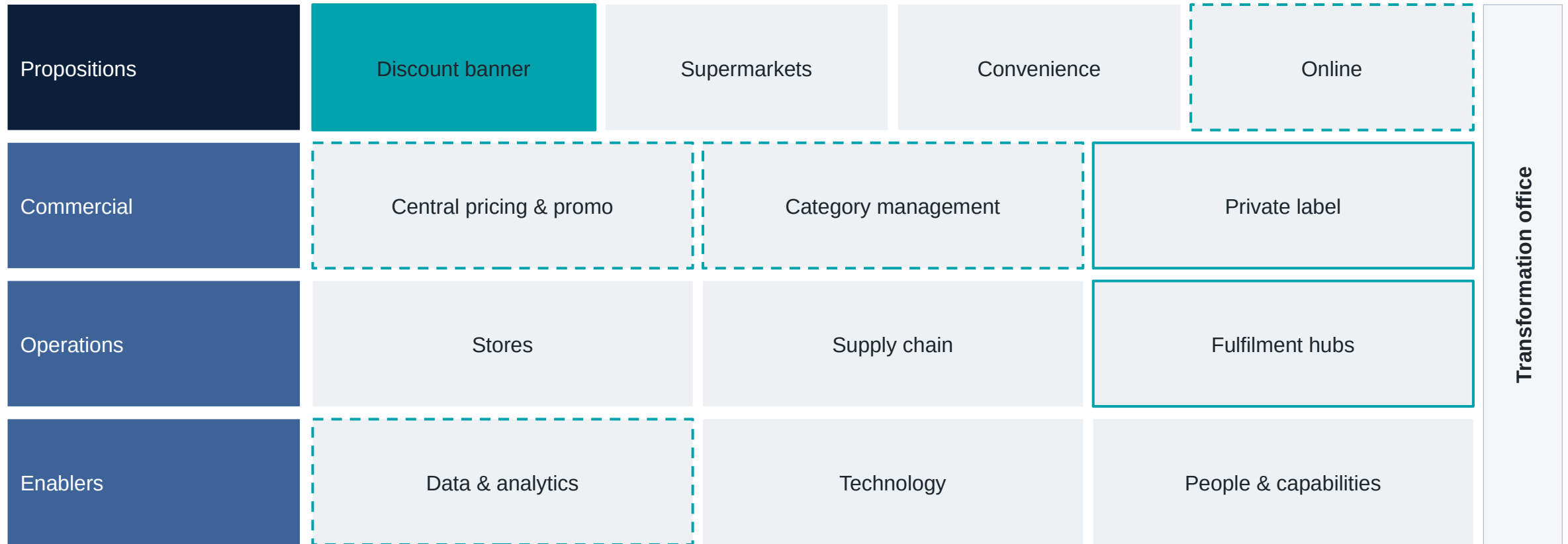


Alvora's prices sit **8% above** Competitor A on a comparable basket

Its experience score trails B and C on freshness and queues

Winning back price perception needs a separate low-cost format, not deeper promotions

The target model adds a discount banner and central pricing to fund the growth moves

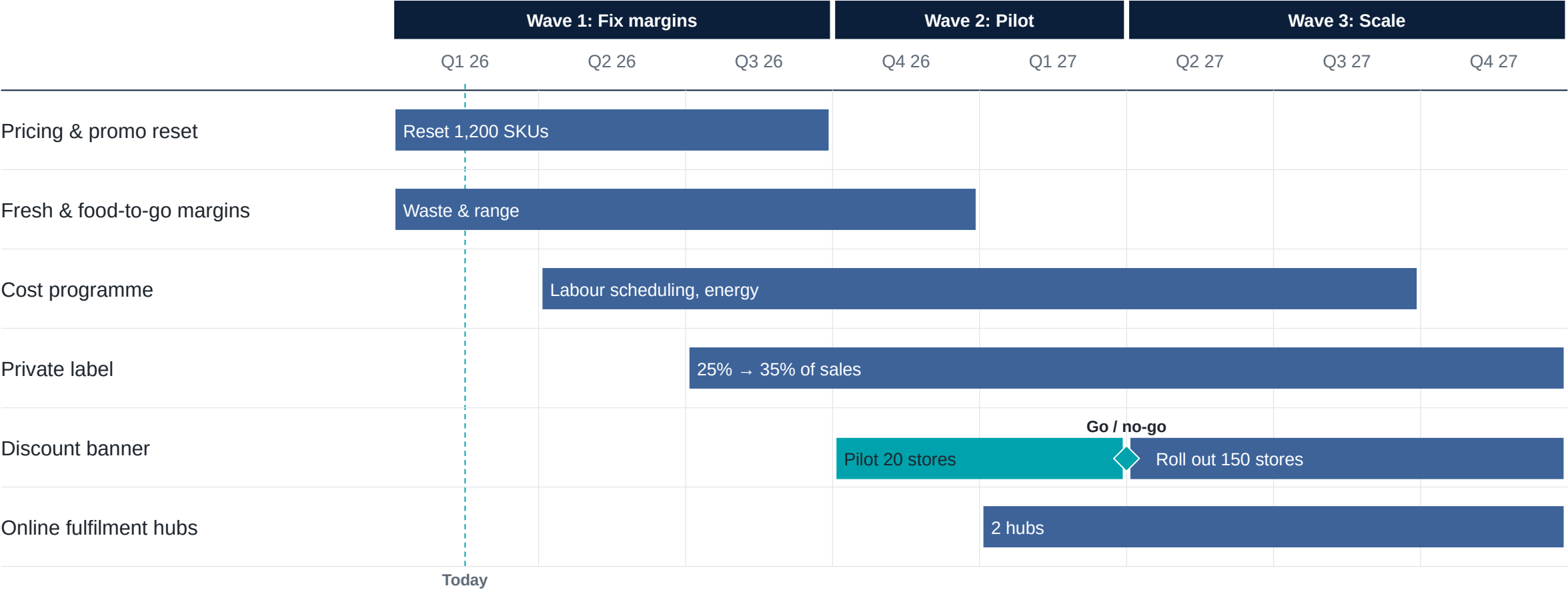


New: discount banner, private label, fulfilment hubs

Changed: pricing moves to the centre; category teams own margin

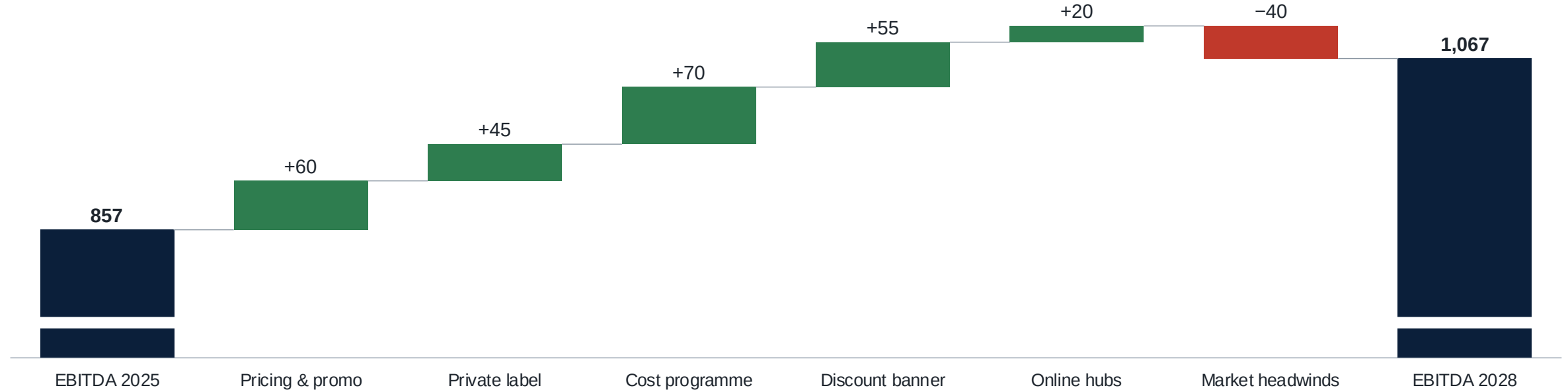
A transformation office steers the programme

A plan in three waves over 24 months secures quick margin wins in pricing, fresh and costs before we scale the discount banner, the private label range and the online fulfilment hubs



Five initiatives adding €250M lift EBITDA to €1,067M by 2028, net of €40M market headwinds

EBITDA 2025 to 2028, €M



Cost and pricing levers deliver €130M of the uplift and are largely within management control

The board is asked to approve three decisions to start Wave 1 in January

Decisions requested today

Decision	Owner	Timing	EBITDA 2028 (€M)	Status
Approve pricing & promo reset across 1,200 SKUs	CCO	Jan 2026	60	
Approve discount banner pilot in 20 stores (€18M capex)	CEO	Q4 2026	55	
Approve €85M programme budget and transformation office	CFO	Jan 2026	135	

Wave 1 is self-funding by Q4 2026

The go / no-go on the banner comes back to the board in Q2 2027